**Revision Date:**
01/01/2024

**Background:**
The county shall initiate collection action for all Inadvertent Household Error (IHE), Administrative Error (AE) and Intentional Program Violation (IPV) established claims.

**Purpose:**
This section details recoupment procedures for Overissuance (OI). Revisions have been made to incorporate implementation of the new CalFresh OI compromise policy for households (HH) with elderly and/or disabled members. Effective December 31st, 2023, Administrative Error (AE) and Inadvertent Household Error (IHE) claims are compromised for active and closed cases that include at least one elderly and/or disabled member responsible for the repayment of the claim at the time of claim discovery.

**Policy:**
1. Non-Fraud Error Claim Recoupment Procedures for Active Cases:

To start the recoupment of an established claim, an OI notice, repayment agreement and budget computation shall be sent to the HH. The following table shows the required information in the OI notice, repayment agreement and budget computation:

| Notices | Required Information |
|---|---|
| OI Notice | • The amount of benefits the HH erroneously received.<br>• The period of the claim.<br>• The amount required to be repaid.<br>• The amount of benefits the HH should have received.<br>• The specific cause of the OI.<br>• How the HH (or its sponsor) may pay the claim.<br>• The HHs or the sponsor's right to a state hearing.<br>**Note:** If the HH or the sponsor disagrees with the amount of the claim, the HH has 90 days to request a hearing. |
| Repayment Agreement | Provides information and the option to pay AE and IHE claims by:<br>• Lump sum payment: Paid in full by cash, check, money order or by a reduction of their CalFresh benefits. HHs will not be required to liquidate resources to make a lump sum payment.<br>• Benefit reduction: Benefits will be reduced monthly by 5% or $10 whichever is greater for AE claims and 10% or $10 whichever is greater for IHE claims.<br>• Installments: Paid monthly by cash, check, money order payments or by a reduction of their CalFresh benefits. Installments paid by the customer must be equal to the amount which could be recovered through benefit reduction. This amount will remain unchanged regardless of subsequent changes in the HH's monthly benefit. |
| Budget Computation | Provides the information of the amount of earned and/or unearned income, HH size and the allowed deductions used in the CalFresh budget. |

Once the notices have been sent to the HHs, they will need to choose repayment option. HH's who fail to send back the repayment agreement notices within 30 days will have their claims reduced by benefit reduction.

2. Recoupment Regulations:

- Initiate AE or IHE OI recoupment at the beginning of a new certification or mid-period with timely notice.
- Collection will be made on one active claim at a time.
- Recoupment can stop mid-period when the OI has been completely recouped.
- AE claims established under Lomeli will not be collected with any other type of claims at the same time through benefit reduction.
- When a recoupment of one OI is completed, recoupment of the next OI can begin mid-period if the recoupment does not result in a decrease in benefits.
- Claims may be recouped from separate HHs at the same time for the same claim from multiple adult members who received an OI as one HH but moved to separate CalFresh HH. However, the amount recouped from all HHs may not exceed the total OI.

3. Postponement of IHE Recoupment:
Postpone recoupment action of IHE claims in cases where an OI is referred for possible legal prosecution or for administrative disqualification, and the county determines that recoupment action will prejudice the case.

4. IHE and AE Recoupment Procedures for Noncitizen HHs with Sponsors:
Any noncitizen's sponsor and the sponsored noncitizen will be held jointly liable for repayment of any OI of CalFresh benefits that results from incorrect information provided by the sponsor. Determine whether the incorrect information was provided due to error on the part of the noncitizen or the noncitizen's sponsor prior to initiating recoupment action against the sponsored noncitizen HH. The noncitizen HH will be solely liable for repayment of an OI when it has been determined that the sponsor has good cause or was not at fault for providing incorrect information. Recoupment for all IHE claims against the HH and sponsor will initiate when the sponsor did not have good cause or was at faut and the HH or sponsor cannot be located. A sponsor will not be held at fault for an AE claim.
**Note**: A claim can also be established against the party most likely to repay first.

5. IPV Recoupment for Active Cases:
Recoupment by benefit reduction will be made at a rate of 20% or $20, whichever is greater. Timely notice is not required to reduce the HHs benefit due to an IPV disqualification.

6. Collection Procedures for Closed Cases:
The claim establishment threshold will be $400.00 for closed CalFresh cases with an OI caused by an AE or IHE. This threshold does not apply to OIs arising from IPV or Quality Control (QC) reviews. When a CalFresh case is discontinued with an outstanding claim balance, a transaction is sent to the Office of Revenue and Recovery (ORR). An account will be established, and collection will be initiated on all OIs over $400. Refer to Processing Guide 454-01 for steps to take on OI for closed cases. Customers can repay a claim by deducting CalFresh benefits from the Electronic Benefits Transfer (EBT) account at any time, even if the claim is currently being recouped or the case has been closed. To begin recoupment, the responsible HH member shall complete and sign the Authorization for Benefit Collection from EBT Account (16-102 HHSA) form.

7. Compromising a Claim for an Elderly and/or Disabled HH:
Effective December 31st, 2023, AE and IHE claims for active and closed HH that include at least one elderly and/or disabled member will be compromised. For the definition of elderly and/or disabled, refer to CalFresh Program Guide 63-101. Compromising a claim means that a previously established claim is reduced or forgiven. AE and IHE OI claims for active and closed cases will only be automatically compromised if the claim was established on or after the implementation date of December 31st, 2023. AE and IHE claims must be compromised according to the HH composition, claim responsibility and participation status at the time of discovery as follows:

| **Type of Claim** | **HH members responsible for repayment of the claim at the time of claim discovery** | **Case Status** | **Compromised Percentage** |
|---|---|---|---|
| AE and IHE | all elderly and/or disabled members | Active or closed | 100% |
| | mixed HH in which only the elderly and/or disabled members are responsible for the claim | Active or closed | 100% |
| | mixed HH where at least one member who is not elderly and/or disabled are responsible for the claim | Active | 50% |

The examples below illustrate the percentage a claim will be compromised based on the HH composition, claim responsibility and status at the time of discovery.

| **Example** | |
|---|---|
| Scenario | Married couple receiving Supplemental Security Income (SSI) income receive an AE OI due to county not using the correct SSI income. Case is active and the discovery date is January 1st, 2024. Both adults are responsible for the claim. |
| Outcome | The AE OI claim will be compromised 100%. |
| **Example** | |
| Scenario | Disabled mother and their minor child receive an IHE OI due to unreported income back in January 2023. Case is closed and the discovery date is February 1st 2024. Only the mother is responsible for the claim. |
| Outcome | The IHE claim will be compromised 100% because the claim was established after the policy implementation date of December 31st, 2023. |
| **Example** | |
| Scenario | Husband, disabled wife, and disabled adult child received an AE OI due erroneous deduction being counted in the budget. Case is active and the discovery date is January 21st, 2023. All adults in the HH are responsible for the claim. |
| Outcome | The AE claim will be compromised 50% because at least one member who is not elderly and/or disabled is responsible for the claim and the claim was established |

| | |
|---|---|
| | after the implementation date. |

At the time the OI is discovered, staff will determine if an individual is elderly and/or disabled based on the following:

- Elderly status for active and closed cases shall be verified based on the HHs member's age at the time of discovery using the date of birth provided.
- Disability status for active cases shall be verified based on the most recently verified information known to staff at the time of discovery.
- Disability status for closed cases shall be verified based on a HHs member's disability status the last month they were receiving CalFresh benefits if more current disability information is not available.

The total cumulative amount of the OI will be reduced. HH members who become either disabled or elderly during collection of an OI must be eligible for reduction. HHs may also qualify for the OI compromise even if they are already in collection. The HH must inform staff and must have their elderly/disabled status verified to have the remaining balance of their OI claim reduced. This compromise policy will not be applied retroactively. The amount to be compromised for a claim already in collection is determined based on the date the HH made the request. Any reductions to the claim amount will be applied from that point forward. There is one instance where an OI cannot be compromised due to their elderly and/or disabled status. The following is an example:

| **Example** | |
|---|---|
| Scenario | An elderly HH appeals their CalFresh case due to a change in their benefits. The HH requests and is approved aid paid pending while waiting for the hearing. After review, the hearing is unsuccessful, and aid paid pending becomes an OI for the HH. |
| Outcome | The HH must not have the portion of the claim caused by aid paid pending compromised. However, the portion of the claim that was not caused by aid paid pending can be compromised. |

8. Compromise Notices of Action (NOA):

Staff are only required to inform HHs of a reduction if the HH's claim is reduced by 100% on an already established claim. If a HH's OI is reduced by 100% prior to the initial establishment of the OI, then the HH is not required to be informed. For HHs receiving a 50% compromise, staff must issue a NOA to inform the HH of the compromise and the remaining balance. The reason is that the amount overissued and the amount the HH is required to pay will be different if they are eligible to have their OI claim compromised. Staff shall use the following notices to inform customers of compromised amounts:

- CalFresh Overissuance Notice Inadvertent Household Errors Only (CF 377.7B).
- CalFresh Overissuance Notice County Administrative Error (CF 377.7D3).
- CalFresh Repayment Notice-Inadvertent Household Errors Only Final Notice (CF 377.7B1).
- CalFresh Repayment Notice-County Administrative Error Only Final Notice (CF 377.7D2).

Staff shall manually enter an explanation of the reason for the OI in the NOA and provide sufficient detail to allow the HH to determine if any incorrect information was used in the OI determination and

the reason for the OI compromise. This information shall outline how the HH qualified for the compromise, and the amount the OI was reduced.

**References:**
All County Information Notice (ACIN) I-33-14.
All County Letter (ACL) 19-50, 18-99, 15-95, 13-79, 13-79E, 21-118, 22-61, 22-61E, and 22-61E2.
MPP 63-801.

**Sunset Date:**
This policy will be reviewed for continuance by 01/31/2027.

**Approval for Release:**

1-31-24

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